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Report Highlights:

Australian oilseed production, dominated by canola, is expected to be strong for the fifth consecutive season during the marketing year (MY) 2025/26. Canola production of 6.15 million metric tons (MMT) would be 3.5 percent above the previous year's estimate and Australia's third-largest canola crop. The growth is due to slight increases in harvest area and yield. Canola exports are forecast to decline by four percent to 4.65 MMT after an 18 percent growth in the expected crush volume of 1.3 MMT. Canola oil exports are forecast to grow by 26 percent to 290,000 metric tons (MT), the highest on record. Olive oil production is forecast to decline to 22,000 MT, mainly because of a natural biennial effect on yield. Cottonseed production is forecast to decline substantially to 1.08 MMT due to expectations of lower irrigation water availability and low cotton prices. Cottonseed exports are forecast to fall by 43 percent to 400,000 MT. The cottonseed crush is forecast to rise but remains small at 50,000 MT.

EXECUTIVE SUMMARY

Australian oilseed production, led by canola, is expected to remain strong for the fifth consecutive season in marketing year (MY) 2025/26. If realized, canola production is projected to reach 6.15 million metric tons (MMT), a 3.5 percent increase over the previous year's estimate, making it the third-largest canola crop ever produced in Australia.

The canola harvest area is forecast to expand slightly; however, this increase is not primarily due to significant changes in planting intentions. Instead, it is a result of recovering from a very dry start in the previous year, particularly in Western Australia, where some of the initially planted canola failed and was subsequently replanted with cereal grains. Although canola prices have softened, the price gap between canola and the other major winter crops, wheat and barley, has widened ahead of MY 2025/26 planting. Australian farmers are increasingly focused on maintaining effective crop rotations. While external factors affecting Canadian canola and related products may have some influence on the market, their overall impact on Australia's canola planted area is expected to be minimal. However, these disruptions may lead to a shift toward increased planting of non-GM canola.

Soil moisture conditions at the beginning of the planting season are slightly better than at the same time last year, supported by early autumn rains. The Australian Bureau of Meteorology also forecasts near-average rainfall in the coming months. Based on these factors, the forecasted canola yield is expected to be slightly higher than the MY 2024/25 estimate.

Despite the projected increase in canola production, higher domestic crush capacity will absorb more of the crop, leading to a forecasted four percent decline in exports to 4.65 MMT for MY 2025/26. With an anticipated 18 percent rise in domestic canola crushing to 1.3 MMT and marginal growth in domestic consumption, canola oil exports are expected to grow by 26 percent to 290,000 metric tons (MT), marking a record high.

Olive oil, a minor contributor to Australia's overall oilseed production, is forecast to decline to 22,000 MT in MY 2025/26 due to the natural biennial yield cycle, following an estimated 25,000 MT crop in MY 2024/25. Despite this fluctuation, the long-term trend in Australian olive production remains positive as young trees bear fruit, and mature trees continue to increase yields. While Australia exports very little olive oil, it imports more than it produces.

Cottonseed production is forecast to decline substantially to 1.08 MMT in MY 2025/26 from the MY 2024/25 estimate of 1.42 MMT, with harvest commencing in April 2025 for the estimate year. This drop is primarily due anticipated reduction in irrigation water availability and declining cotton prices, which have fallen below the previous 10-year average. As a result, cottonseed exports are expected to decrease by 43 percent to 400,000 MT, with domestic consumption remaining relatively stable, primarily for livestock feed. Meanwhile, cottonseed crushing is forecast to rise to 50,000 MT but is expected to remain a small segment of the industry in the coming years.

CANOLA

Production

FAS/Canberra forecasts a 3.5 percent increase in canola production for MY 2025/26, reaching 6.15 MMT. If realized, this would be Australia's third-largest canola crop on record and the fifth consecutive year of strong production. Both harvest area and yield are forecast to rise slightly following a challenging MY 2024/25 season for a large part of Australia's canola growing area.

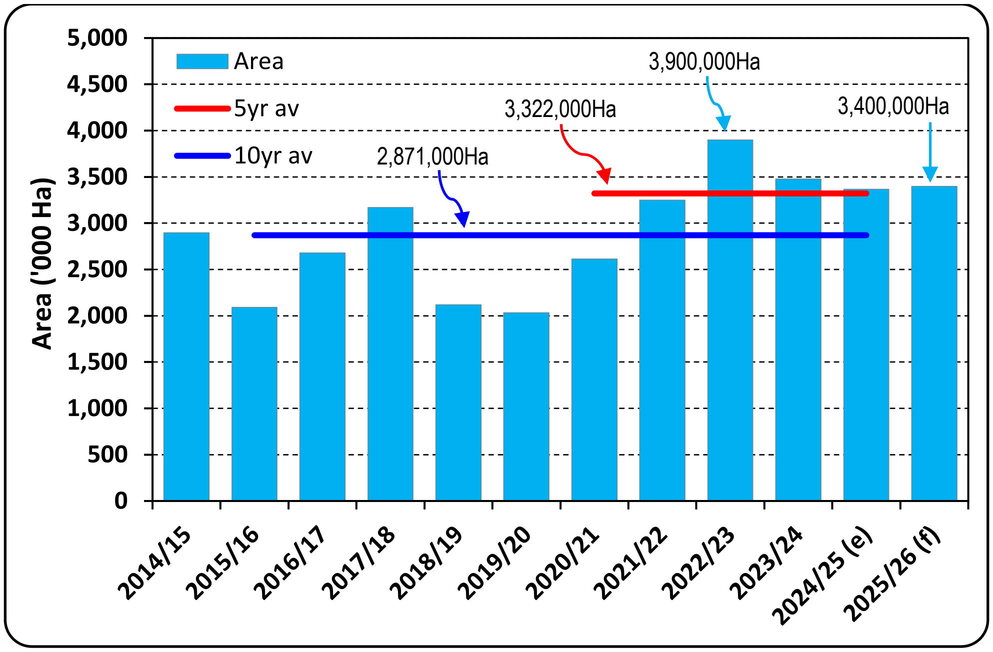
A further factor influencing little change to the planted area is that Australian winter crop producers have, over time, established increasing rigor in their crop rotation programs. These rotations are crucial in weed and disease management and overall productivity. A major shift in the differential pricing between canola and the major cereal grains grown in Australia, wheat and barley, may cause a change in crop rotation programs, but in the lead-up to planting canola, no such trend has emerged in the for the MY 2025/26 season.

Factors Influencing Planted Area

The forecast increase in harvest area is unrelated to any significant change in planting intentions. Instead, it reflects the prior season conditions, particularly in Western Australia, whereby the dry and very late start to the MY 2024/25 season resulted in some failed canola crops that were replanted to cereal grains. The projected planted area aligns with three of the past four years, with MY 2022/23 being an exception see Figure 1) due to a significant rise in canola prices, which widened the price gap between canola and cereal crops (see Figure 2).

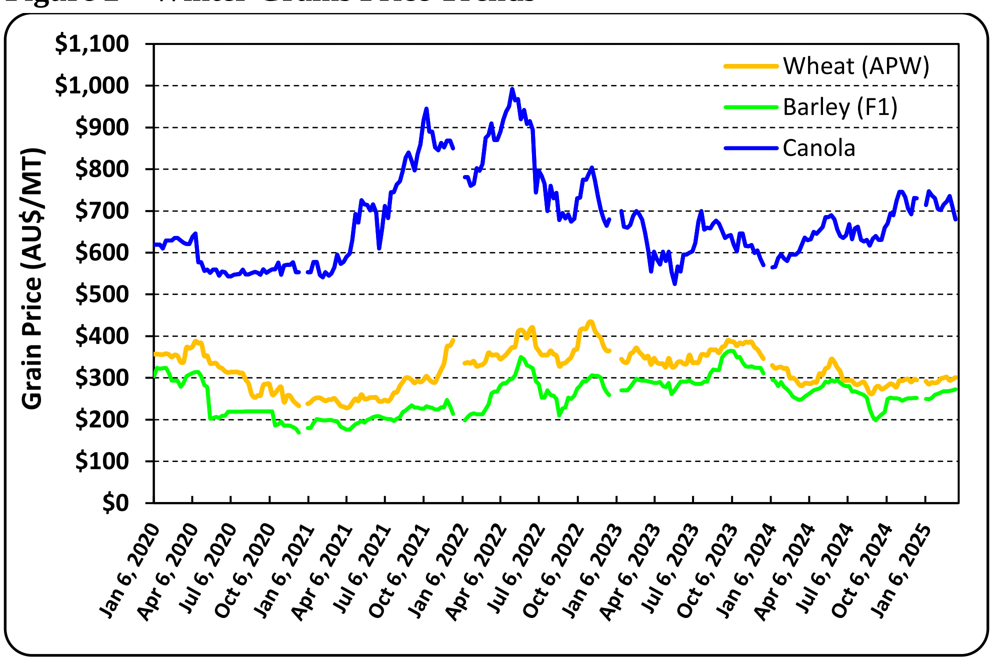
Throughout 2024 and early 2025, the price of canola generally increased while the price of wheat and barley softened. This could encourage additional canola planting; however, other market factors must also be considered.

Figure 1 – Australian Canola Area Harvest History



Source: *PSD Online / FAS/Canberra*
Note: *(e) = estimate, (f) = forecast*
Note: *Australia Marketing Year is Nov to Oct (eg MY 2024/25 = Nov 2024 to Oct 2025)*

Figure 2 – Winter Grains Price Trends



Source: *The Land newspaper – Parkes New South Wales*

Trade Policy Changes and Market Implications

Recent trade policy shifts affecting Canada, the world's largest canola exporter, have impacted on Australian canola prices.

- On March 4, 2025, the United States imposed a 25 percent import tariff on Canadian goods, including canola seed, meal, and oil.
- On March 20, 2025, China introduced a 100 percent tariff on Canadian canola meal and oil, though canola seed was excluded.

The U.S. is Canada's largest market for canola meal and oil, while China primarily imports Canadian canola seed, but it is a relatively small buyer of meal and oil. In response, Chinese importers may increase canola seed imports and expand domestic crushing.

Although canola prices in Australia declined by around US$40 per MT after these trade announcements, the price differential between GM and non-GM canola has widened, with the latter having around a US$75 per MT premium. Since Canada predominantly produces GM canola while Australia mainly produces non-GM canola, these policy shifts could create opportunities for Australian exports.

While Australia exports little canola to China or the U.S., its key markets—the EU, Japan, and the Middle East—may see shifts in trade flows. Given the substantially increased premium price for non-GM over GM canola Australian growers may increase their focus on non-GM canola rather than reduce overall planted area.

Climate and Agronomic Practices

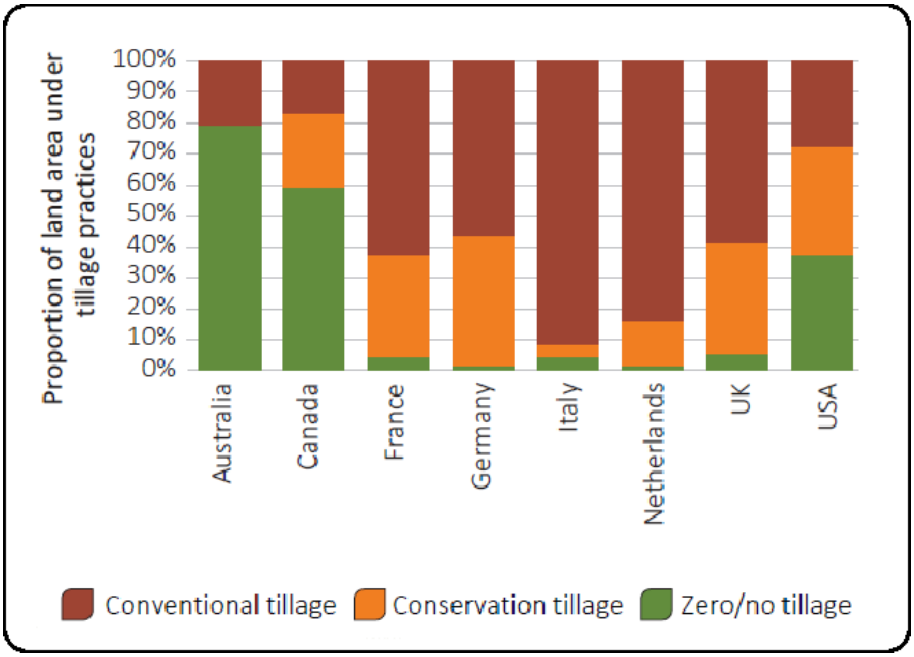
A key feature of winter crop production in Australia is that farmers contend with large variances in seasonal conditions from year to year, with, at times, excessive rains and severe drought conditions, perhaps more so than any other winter crop-producing nation in the world. Over many decades, farmers in Australia have changed their practices to better adapt to the conditions and optimize their production outcomes.

One of the major advancements has been soil conservation practices, including stubble retention, cover crops, crop rotations, and fallow, and most importantly, in conjunction with these, has been the strong adaptation of zero/no-tillage practices. Australian farmers lead the world in zero/no tillage at almost 80 percent of land area compared to Canada and the United States, at under 60 percent and 40 percent, respectively, and less than five percent across major European producing nations (see Figure 3).

Crop rotations are mainly between canola, wheat, and barley. In some regions legume crops, are an important component of the zero/no-till system for disease and weed management to optimize overall medium-term productivity and profitability. Without a significant shift in price incentives, similar to the

MY 2022/23 price spike, Australian farmers are expected to maintain their crop rotations, keeping the canola-planted area relatively stable.

Figure 3 – Tillage Practice Comparison



Source: *ABARES Insights – Environmental Sustainability and Agri-environmental Indicators, International Comparison – July 2023*

Seasonal Outlook

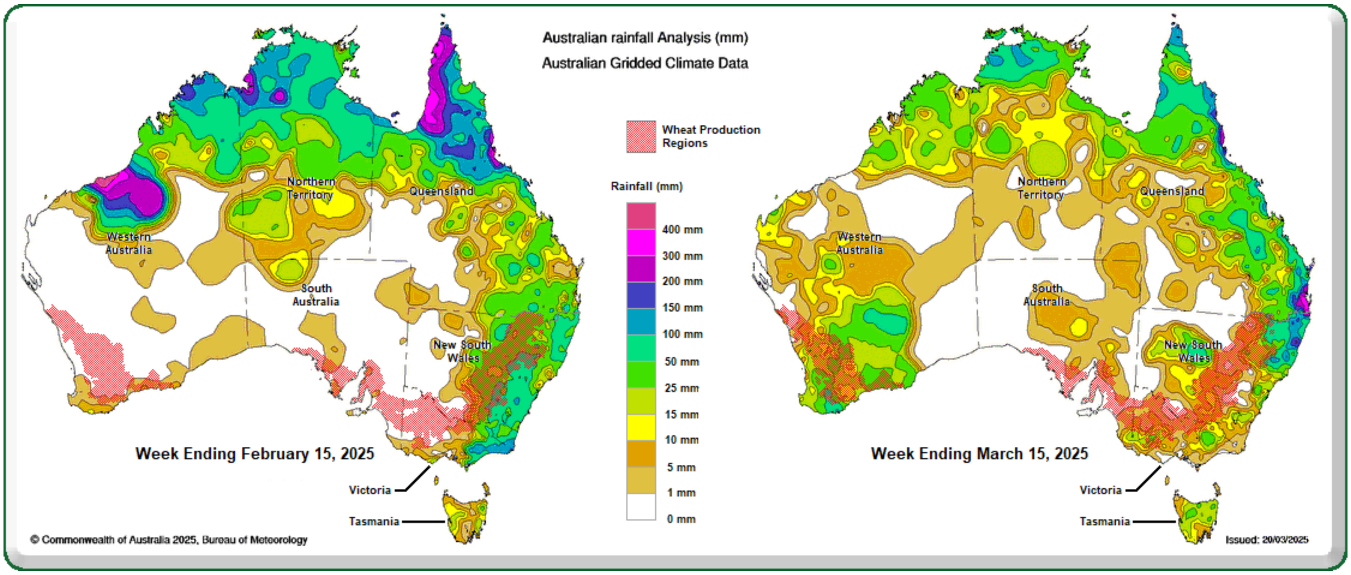
For the forecast year, early fall rains and soil moisture are broadly slightly better in mid-March 2025 than at the same time in the previous year. Canola is typically planted from March to May and harvested from October to December. The more northern production areas generally have earlier planting and harvest compared to the more temperate climate in the southern areas.

As of mid-March 2025:

- Eastern Australia received beneficial early fall rains in mid-February, except for South Australia and Northwestern Victoria, which remain drier than average.
- Additional March rainfall improved conditions in Western Australia and much of the eastern states, but South Australia and northwestern Victoria again missed out (see Figure 4).

It must be noted that mid-March is the very start of the winter crop planting period, and there is ample opportunity for rainfall to the end of the planting period until around the end of May for canola. These rains have built some grower confidence in the lead-up to the MY 2025/26 season.

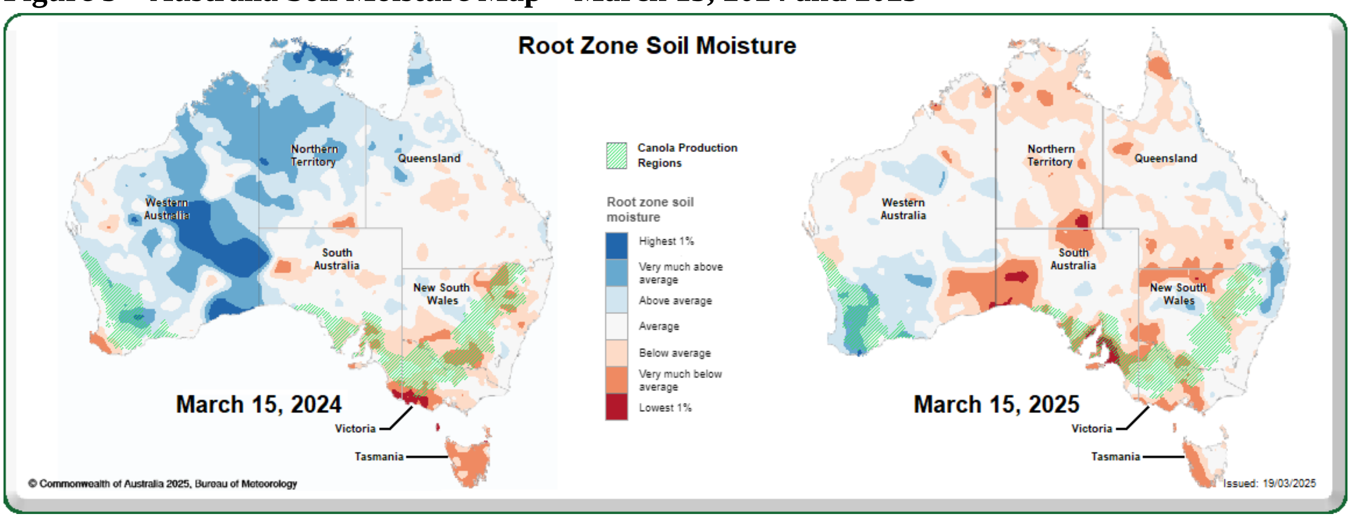
Figure 4 – Australia Rainfall Maps – 1-week, mid-Feb 2025 and mid-March 15, 2025



Source: Australian Bureau of Meteorology / FAS/Canberra

Soil moisture maps indicate that Western Australia is in good condition. At the same time, New South Wales, Victoria, and southern Queensland have below-average but slightly improved moisture levels compared to last year. South Australia, which typically accounts for nine percent of national canola production, remains the driest region (see Figure 5).

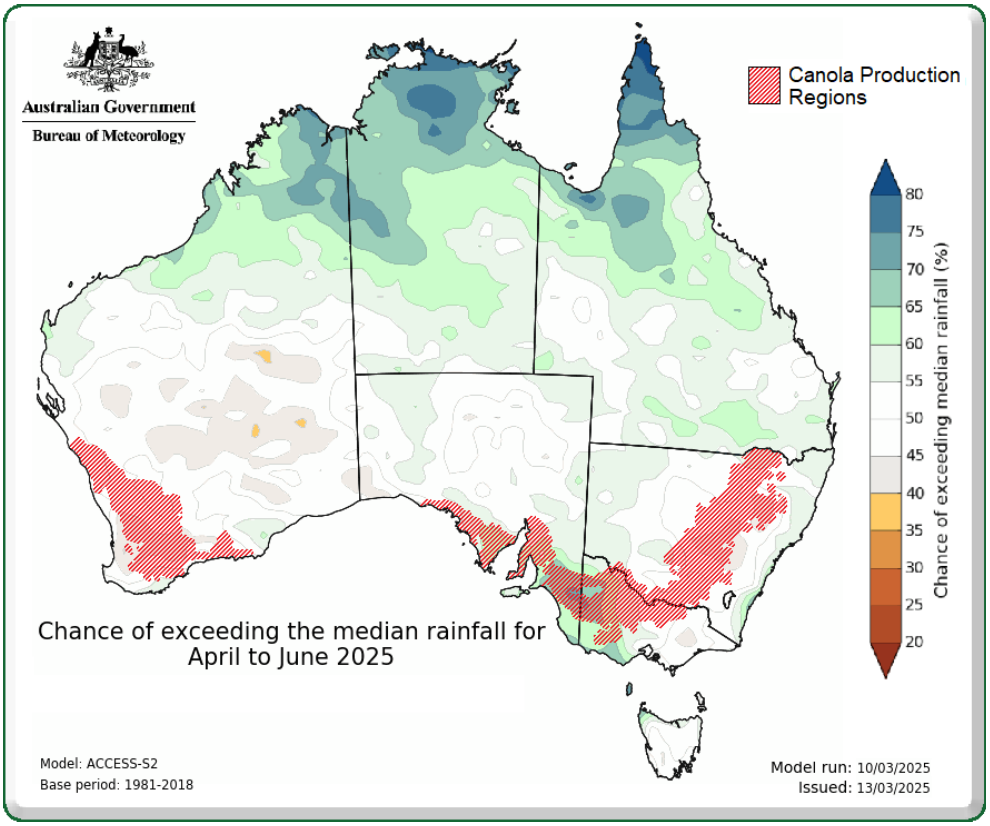
Figure 5 – Australia Soil Moisture Map – March 15, 2024 and 2025



Source: Australian Bureau of Meteorology / FAS/Canberra

The Australian Bureau of Meteorology forecasts that rainfall will be near-average from April to June 2025, the critical planting and early growth period. Encouragingly, South Australia—the region most in need of rain—has a more favorable rainfall outlook than other canola-producing areas (see Figure 6).

Figure 6 - Australia Rainfall Forecast Map – April to June 2025



Source: Australian Bureau of Meteorology / FAS/Canberra

The rainfall and soil moisture conditions at the start of the MY 2025/26 canola production season are on balance, similar to the prior year, and are unlikely to disrupt the crop rotation programs and the overall area of planted canola relative to recent past years. That is, other than for MY 2022/23, which was predominantly driven by a price spike rather than rainfall and soil moisture conditions.

Yield History and Forecast

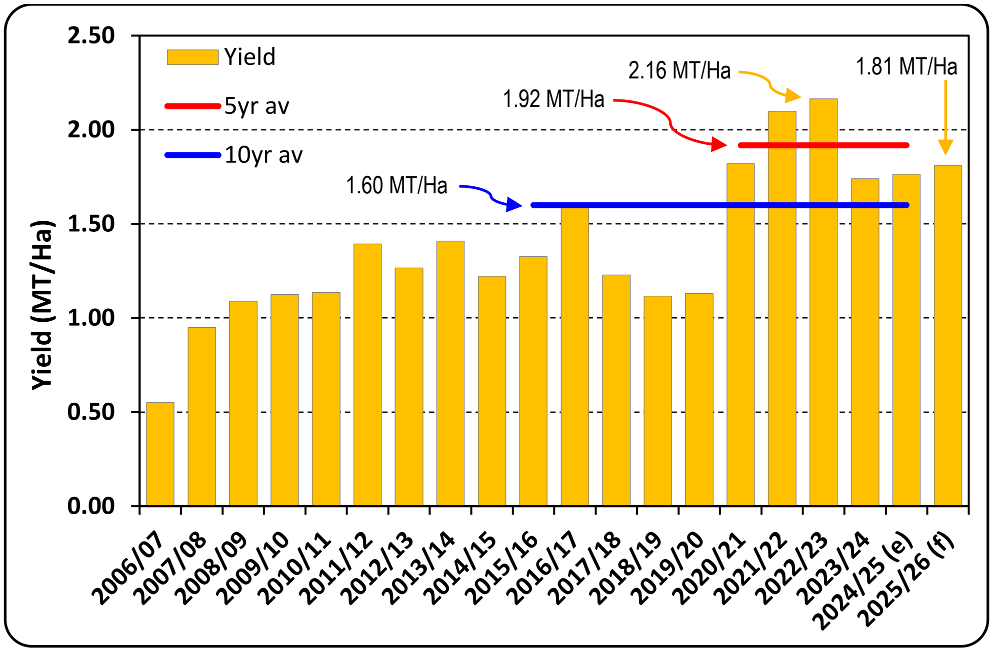
FAS/Canberra's canola yield forecast for MY 2025/26 is 1.81 metric tons per hectare (MT/Ha), marginally above the prior year but is 5.7 percent below the previous five-year average (see Figure 7). This reflects the continued below-average soil moisture levels, albeit slightly better than last year.

Notably, the forecast yield remains 13 percent above the previous 10-year average, highlighting the long-term upward trend in Australian canola productivity.

- The increasing adoption of zero/no-tillage practices has significantly contributed to higher yields by improving soil moisture retention.
- In both MY 2023/24 and MY 2024/25, in-season rainfall from March to October was well below average in major canola-growing regions (see Figure 8). Yet, yields remained above the previous 10-year average and only slightly below the five-year average (see Figure 7).

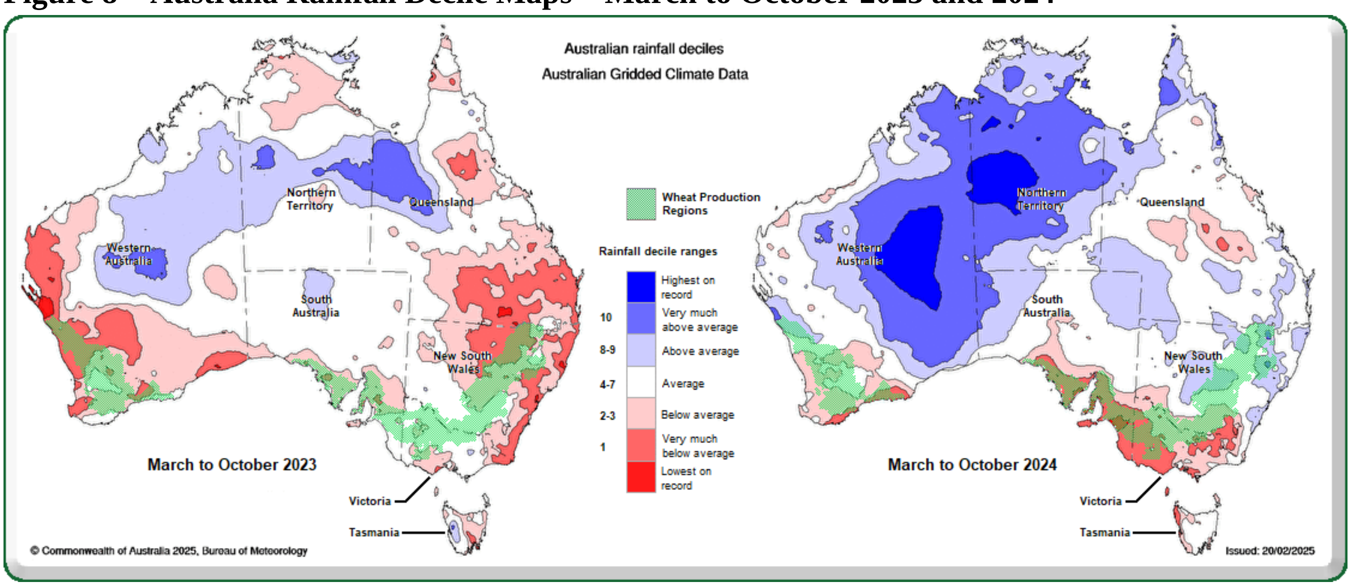
In the current situation with overall soil moisture levels only a little better at the start of the canola planting period for MY 2025/26 compared to the prior year (see Figure 5) and forecast rains in the coming months at around average expectations (see Figure 6), the forecast yield is supported.

Figure 7 – Australian Canola Yield History



Source: *PSD Online / FAS/Canberra*
Note: *(e) = estimate, (f) = forecast*
Note: *Australia Marketing Year is Dec to Nov (eg MY 2024/25 = Nov 2024 to Oct 2025)*

Figure 8 – Australia Rainfall Decile Maps – March to October 2023 and 2024



Source: *Australian Bureau of Meteorology / FAS/Canberra*

MY 2024/25 Production Estimate

For MY 2024/25, canola production is estimated at 5.94 MMT, down 1.8 percent from the previous year but still the fourth highest on record. This estimate aligns closely with the Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES) assessment, issued four months after harvest.

Consumption

FAS/Canberra forecasts domestic canola crush to increase to 1.3 MMT in MY 2025/26 from an estimated 1.1 MMT in MY 2024/25.

The expansion of canola production in recent years, coupled with high global canola oil prices in 2021 and 2022, encouraged existing processors to increase their investment in Australia's canola crushing sector. These investments have expanded the country's crushing capacity and will impact production in MY 2025/26.

Global canola oil prices declined in 2023 and remained stable throughout 2024 and early 2025, though they remain slightly above the previous five-year average. Canola prices have followed a similar trend. Over this period, Australia's estimated crush capacity has grown from approximately 1.3 MMT to 1.6 MMT. This increase necessitates higher throughput to optimize plant utilization rates, a key factor driving the forecasted rise in canola crushing for MY 2025/26.

Canola production in Western Australia and South Australia is almost entirely export-oriented. In contrast, canola grown in Eastern Australia is primarily used for domestic crushing, with any surplus directed to the export market. Despite accounting for nearly half of the national crop, Western Australia contributes only about 10 percent of Australia's total canola crush. This is mainly due to the higher demand for canola meal in the eastern states, holding the majority of beef feedlots, dairy farms, swine, and poultry operations.

Over the past two years, several existing processors have announced plans to establish new crushing facilities in Western Australia. However, two companies have withdrawn their interest, while another has secured a site but placed the project on hold. Their proposed project has a crushing capacity of around 1.3 MMT almost double Australia's current capacity. However, all these projects are contingent on federal government policy support for biofuels, which has yet to materialize.

FAS/Canberra estimates canola consumption for crushing at 1.1 MMT in MY 2024/25, similar to the previous year. Nonetheless, canola crushing in Australia has shown a steady upward trend over the past few decades, increasing by approximately 50 percent in the last ten years.

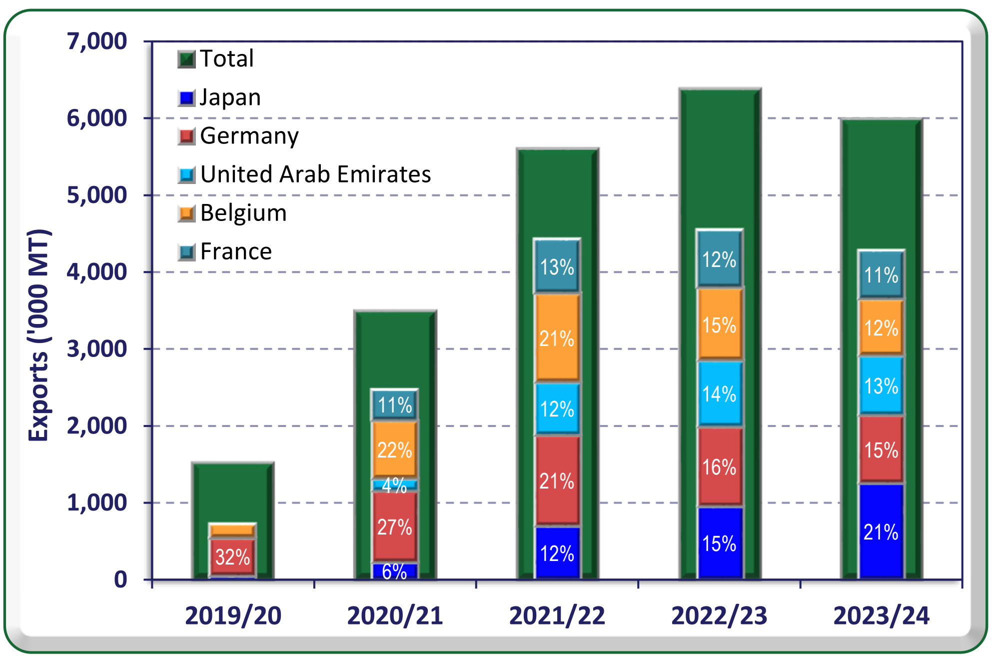
Trade

Exports

Canola exports for MY 2025/26 are forecast at 4.65 MMT, a 0.2 MMT decline from the estimate for MY 2024/25. This decrease is primarily due to the anticipated rise in domestic canola crushing consumption. If realized, this would be Australia's fifth-largest canola export volume on record. The four higher export totals occurred in the previous four marketing years, reflecting the strong production levels.

Australia is the world's second-largest canola exporter, behind Canada, and has accounted for approximately one-third of global trade in recent years. Over the past decade, the European Union (EU) has declined significantly as Australia's primary export destination, falling from around 90 percent of total exports to 40 percent. The EU's key markets for Australian canola have traditionally been Germany, Belgium, and France. However, in the past five years, substantial diversification has been away from the EU toward Japan, the United Arab Emirates, Pakistan, and Mexico (see Figure 9).

Figure 9 – Major Canola Export Destinations – MY 2019/20 to 2023/24

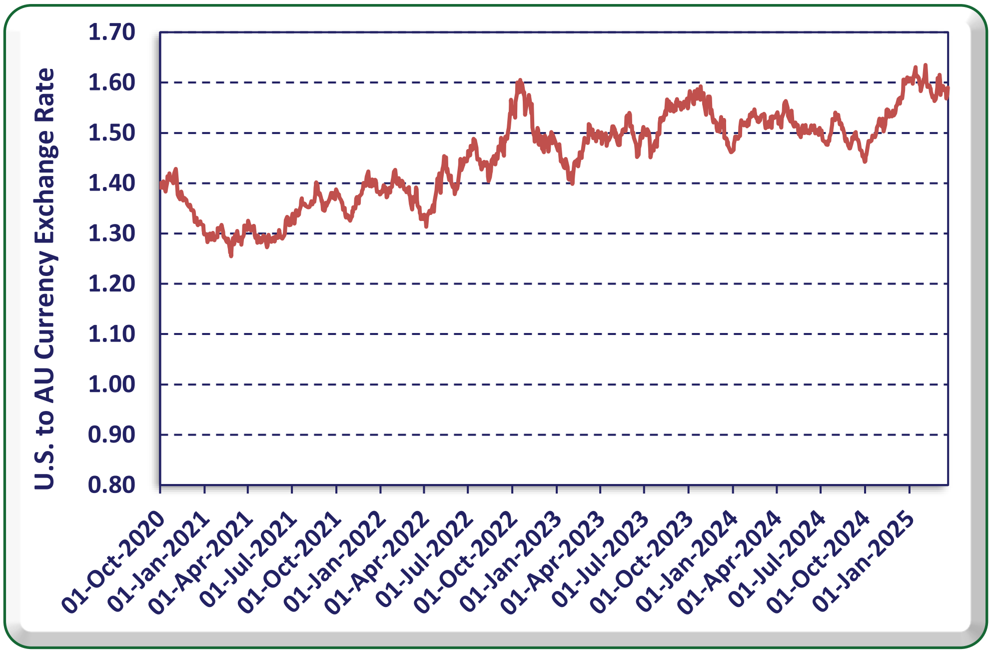


Source: Australian Bureau of Statistics
Note: Australia Marketing Year is Nov to Oct (eg MY 2023/24 = Nov 2023 to Oct 2024)

For the first three months of MY 2024/25, canola exports to Germany and Belgium have risen significantly compared to the same period in the previous year, suggesting a strengthening in EU demand. This is due to reduced supply from Ukraine, the EU's other major canola source.

The Australian dollar has weakened considerably since the last quarter of 2024, reaching its lowest level since late 2022 (see Figure 10). The depreciation has improved the competitiveness of Australian canola, canola oil, and canola meal in global markets. While economists warn of potential further depreciation in the coming months, the general expectation is for a gradual strengthening of the Australian dollar throughout 2025. However, even if the exchange rate returns to levels seen in early 2024, Australian canola exports are expected to remain price competitive.

Figure 10 – US:AU Currency Exchange Rate – 2020 to Mar 2025



Source: Reserve Bank of Australia

FAS Canberra estimates canola exports in MY 2024/25 to reach 4.85 MMT, a 19 percent decline from the prior MY 2023/24 and 24 percent lower than the record export MY 2022/23. This is mainly due to lower production. For the first three months of MY 2024/25 (Nov 2024 and Jan 2025), Australia has exported 2.09 MMT, 36 percent more than at the same time in the previous year (MY 2023/24), which had total exports of 5.99 MMT. Nonetheless, with reduced production and stable domestic crush demand, Australia is unlikely to sustain the current high pace of exports for the remainder of the marketing year.

Stocks

FAS/Canberra forecasts ending stocks of canola to remain relatively stable but low in MY 2025/26 at around 0.4 MMT. According to industry sources, most canola is sold by the end of June each year, and very little stock is held before the start of harvest at the beginning of November.

Table 1 - Production, Supply, and Distribution of Canola (Rapeseed)

Oilseed, Rapeseed	2023/2024		2024/2025		2025/2026	
Market Year Begins	Nov 2023		Nov 2024		Nov 2025	
Australia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	3500	3500	3500	3500	0	3400
Area Harvested (1000 HA)	3477	3477	3368	3368	0	3400
Beginning Stocks (1000 MT)	1622	1622	456	456	0	343
Production (1000 MT)	6050	6050	5940	5940	0	6150
MY Imports (1000 MT)	3	3	1	2	0	2
Total Supply (1000 MT)	7675	7675	6397	6398	0	6495
MY Exports (1000 MT)	5994	5993	4850	4850	0	4650
Crush (1000 MT)	1100	1100	1100	1100	0	1300
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	125	126	105	105	0	125
Total Dom. Cons. (1000 MT)	1225	1226	1205	1205	0	1425
Ending Stocks (1000 MT)	456	456	342	343	0	420
Total Distribution (1000 MT)	7675	7675	6397	6398	0	6495
Yield (MT/HA)	1.74	1.74	1.7637	1.7637	0	1.8088
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

CANOLA MEAL

Production

Canola meal production for MY 2025/26 is forecast to increase by 18 percent to 754,000 MT, up from an estimated 638,000 MT in MY 2024/25. If realized, this would mark the highest level of canola meal production on record in Australia. This growth is primarily due to the recent expansion of canola crushing capacity at existing facilities.

Approximately one-fifth of Australian canola is usually processed domestically, although this proportion fluctuates based on annual production levels. Canola meal output is closely tied to demand for canola oil, as the profitability of crushing is influenced by both oil prices and the value of canola meal as a by-product.

Canola meal is a high-quality, protein-rich supplement, particularly valued for its high rumen-undegradable protein content, making it a sought-after ingredient in livestock feed. It is widely used across the livestock sector, with the beef cattle industry being the largest consumer, followed by the dairy industry. The expansion of feedlot capacity and the gradual increase in supplementary feeding of dairy cows relative to pasture-based feeding support the continued growth in canola meal production.

FAS/Canberra estimates canola meal production for MY 2024/25 at 638,000 MT, unchanged from the previous year. While investments in increased crushing capacity have been made, global canola prices declined in 2023 and have remained subdued. Additionally, recent trade disruptions—such as the United

States imposing a 25 percent import tariff on Canadian canola and products, and China applying a 100 percent tariff on Canadian canola meal and oil—contribute to industry uncertainty for MY 2024/25.

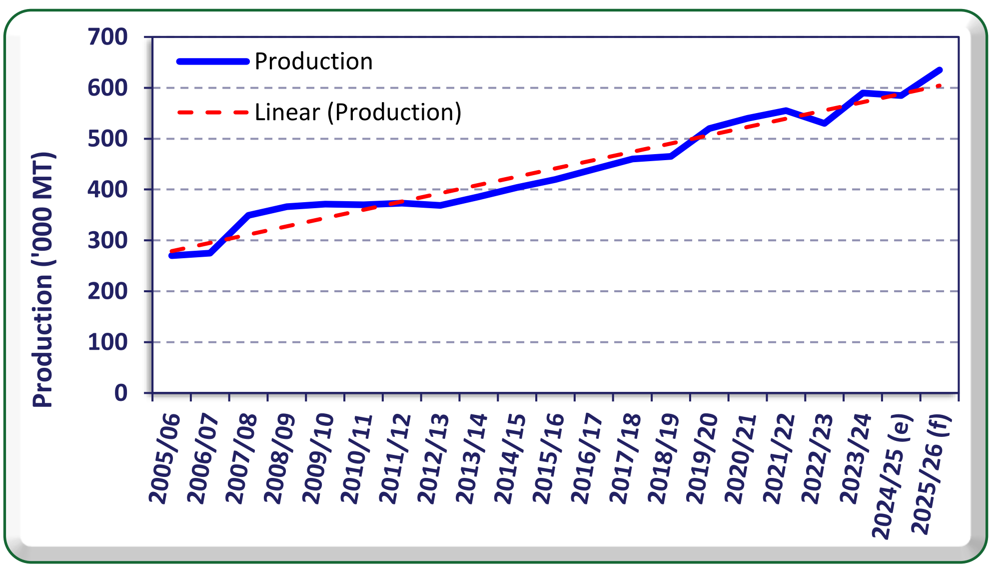
Consumption

FAS/Canberra forecasts an 8.5 percent increase in canola meal consumption for MY 2025/26, rising by 50,000 MT to 635,000 MT from the previous year's estimate. Nearly all canola meal produced in Australia is consumed domestically, with less than 10 percent typically being exported. However, this is expected to increase to 15 percent in the forecast year due to a significant rise in canola crush volumes.

The majority of canola meal is produced in crushing facilities located in the eastern states, close to major consumers in the beef, dairy, pig, and poultry industries. Canola meal competes with imports of soybean meal, which have steadily increased over the past two decades. Although soybean meal is the closest competitor to canola meal, the two products have distinct characteristics and cater to different livestock nutritional needs—canola meal is more suitable for ruminants. In contrast, soybean meal is used more for monogastric livestock. Most soybean meal imports come from Argentina, with an increasing volume from the United States.

Although Australia produces ample canola to increase its crush, the demand for canola meal domestically is only steadily increasing from year to year (see Figure 11). The balance between domestic and export demand influences the price of canola meal, which is a key consideration for the long-term expansion of canola oil production. However, in some years, such as MY 2022/23, the profitability of canola oil production may rise to a level where the value of the by-product, canola meal, becomes less of a factor in the decision to crush.

Figure 11 – Australian Canola Meal Consumption Trend



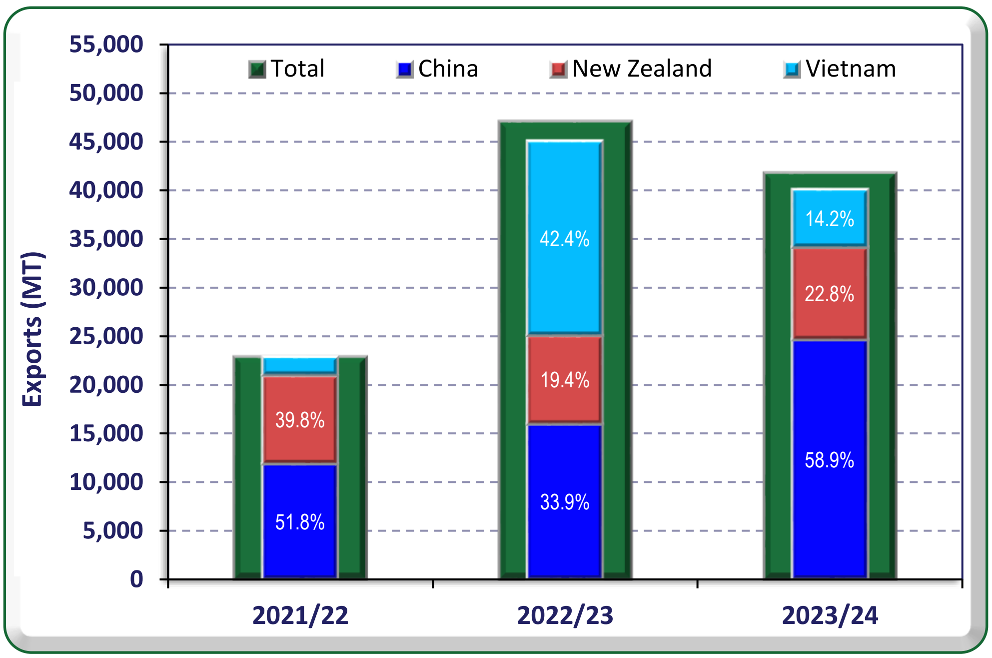
Source: *Australian Bureau of Statistics / FAS/Canberra*
Note: *(e) = estimate, (f) = forecast*
Note: *Australia Marketing Year is Nov to Oct (eg MY 2023/24 = Nov 2023 to Oct 2024)*

Trade

FAS/Canberra forecasts canola meal exports to reach 110,000 MT in MY 2025/26, up from an estimated 55,000 MT in the previous year. If realized, this would set a new record for Australia. While the forecast represents a 100 percent increase, the volume increase is relatively modest.

The first significant year of canola meal exports in recent years occurred in MY 2021/22, with exports totaling 27,000 MT. In recent years, the majority of Australia's canola meal exports have gone to China, New Zealand, and Vietnam, where it supports their livestock industries (see Figure 12). The U.S. and China's tariffs on Canada— the world's largest producer and exporter of canola meal—are expected to create opportunities for increased demand for Australian canola meal from China, and, to a lesser extent, the U.S., as MY 2024/25 progresses and into the forecast year.

Figure 12 – Major Canola Meal Export Destinations – MY 2021/22 to 2023/24



Source: *Australian Bureau of Statistics*
Note: *Australia Marketing Year is Nov to Oct (eg MY 2023/24 = Nov 2023 to Oct 2024)*

FAS/Canberra's canola meal export estimate for MY 2024/25 is 55,000 MT, which is 8,000 MT above the previous year's total. During the first three months of MY 2024/25, exports reached 14,400 MT—well above the same period in the previous year, driven primarily by significant growth in exports to New Zealand and Vietnam.

Stocks

Canola meal spoils quickly and needs to be used within a matter of weeks. This is why ending stocks remain low and stable from year to year. However, dried canola meal can be stored for many months, though it is unclear the industry's capacity is for producing dried canola meal.

Table 2 - Production, Supply, and Distribution of Canola Meal

Meal, Rapeseed	2023/2024		2024/2025		2025/2026	
Market Year Begins	Nov 2023		Nov 2024		Nov 2025	
Australia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	1100	1100	1100	1100	0	1300
Extr. Rate, 999.9999 (PERCENT)	0.58	0.58	0.58	0.58	0	0.58
Beginning Stocks (1000 MT)	11	11	17	17	0	15
Production (1000 MT)	638	638	638	638	0	754
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	649	649	655	655	0	769
MY Exports (1000 MT)	42	42	45	55	0	110
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	590	590	590	585	0	635
Total Dom. Cons. (1000 MT)	590	590	590	585	0	635
Ending Stocks (1000 MT)	17	17	20	15	0	24
Total Distribution (1000 MT)	649	649	655	655	0	769
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

CANOLA OIL

Production

With an anticipated increase in canola crush in MY 2025/26, canola oil production is forecast to rise to 546,000 MT, a 20 percent increase from the estimated 456,000 MT for MY 2024/25.

In recent years, crushers have been encouraged to expand their capacity, driven by successive years of high canola production in Australia and strong global canola oil prices. Additionally, Australia imports a significant amount of cooking oils, some of which could be displaced by increased domestic canola oil production.

Australia currently has six canola crushing facilities in New South Wales and Victoria—two of the most populous states with the highest domestic demand for canola oil. There are also two smaller crushing plants in Western Australia. Industry sources report that total combined crushing capacity has risen in recent years from around 1.3 MMT to 1.6 MMT, following capacity expansion programs by two major crushers on the East Coast.

Over the past two years, several canola processors have explored expanding operations into Western Australia. According to industry sources, one project is still under consideration, with a crushing capacity of approximately 1.3 MMT, nearly double Australia's current capacity. However, this project aims to produce sustainable aviation fuel (SAF) and cooking oil, and its viability depends on the support of federal government policy for SAF. Currently, there is no indication of policy intervention, and the proposal is understood to be on hold.

FAS/Canberra estimates canola oil production for MY 2024/25 at 456,000 MT, consistent with the prior year. This stability is partly due to Australia's crushing capacity and the decline in world canola oil prices, which returned to historical levels in MY 2023/24 and have continued into MY 2024/25 after the peak in MY 2022/23. For MY 2024/25, the export price for canola oil is not expected to be strong enough to drive full capacity-production. However, recent import tariffs on Canadian canola oil may disrupt global trade and affect world prices, giving Australian canola processors the incentive to increase production slightly for the remainder of MY 2024/25, with a more significant impact expected in the forecast year.

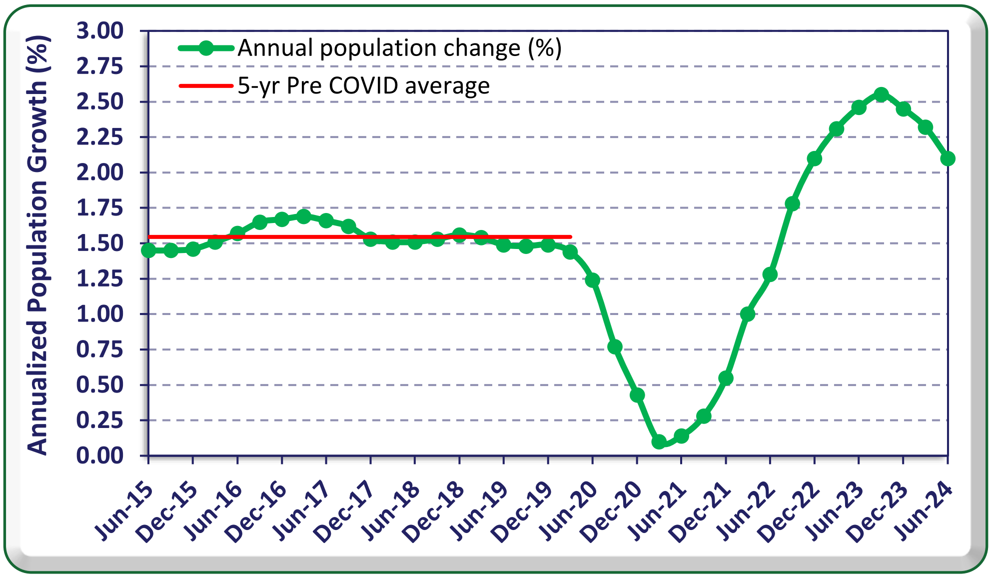
Consumption

Canola oil consumption in MY 2025/26 is forecast to rise moderately to 265,000 MT from the previous year's estimate of 260,000 MT. This rise in domestic consumption is primarily due to Australia's anticipated population growth. While Australia has experienced rapid growth in recent years, the federal government aims to moderate this trend. Record levels of immigration have fueled the recent population growth.

Australia's population growth rate has significantly exceeded its pre-COVID-19 average of just over 1.5 percent per year. Since late 2022, growth has remained well above this level, peaking at 2.6 percent before easing to an annualized rate of 2.1 percent in the second quarter of 2024 (see Figure 13). Although immigration has been the main driver of this increase, the federal government has implemented measures to slow the growth rate. Nonetheless, strong population growth is expected to continue into 2025, supporting the forecasted rise in canola oil consumption for MY 2024/25 and contributing to a more moderate growth in the forecast year.

Biodiesel production from canola in Australia remains minimal, as there is no federal biodiesel mandate, and only small mandates exist in two states. Industry sources also suggest that producing biodiesel from tallow and used cooking oil is more cost-effective in Australia. However, there has been growing interest in producing sustainable aviation fuel (SAF) to support the reduction of greenhouse gas emissions from the aviation sector. SAF can be derived from multiple sources, including the further processing of canola oil or ethanol. While there is significant interest in SAF production, sources indicate that federal government policy intervention is needed to provide certainty and viability for the sector.

Figure 13 – Australian Population Growth Trend



Source: Australian Bureau of Statistics

FAS/Canberra's canola oil consumption estimate for MY 2024/25 is 260,000 MT, a modest increase of 10,000 MT from the previous year. This growth is primarily driven by the rapid rise in population, as mentioned earlier.

Trade

Exports

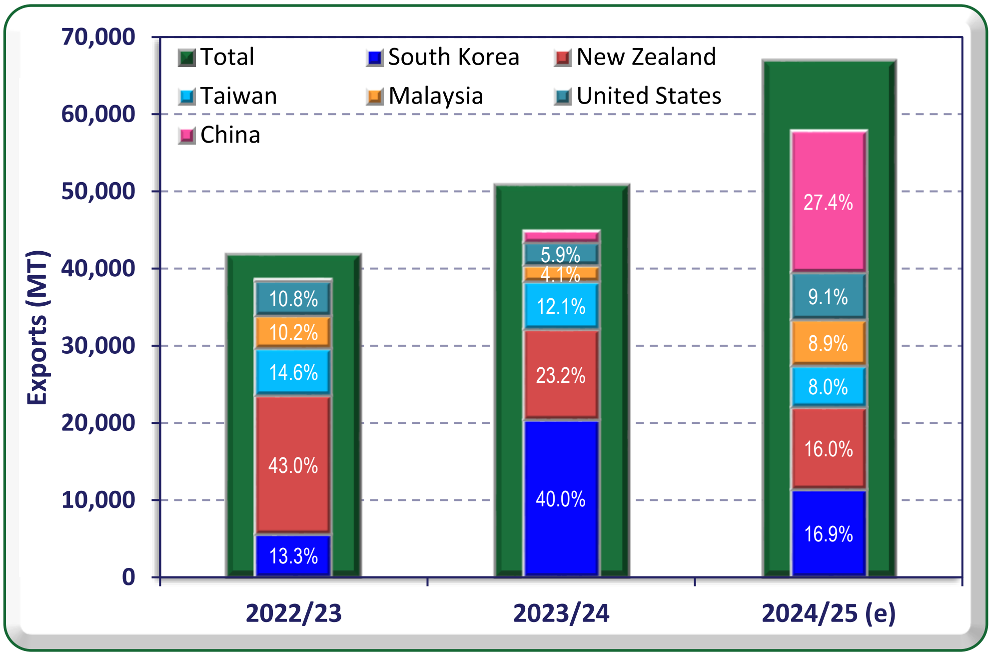
Australia's canola oil exports for MY 2025/26 are forecast at 290,000 MT, reflecting a 60,000 MT (26 percent) increase from the MY 2024/25 estimate. This rise is primarily due to expected growth in canola oil production, which is mainly directed toward exports, as domestic consumption is projected to see only modest gains.

Trade disruptions caused by import tariffs on Canadian canola oil imposed by the U.S. and China are expected to shift global demand, creating opportunities for Australian canola processors. With the expansion of crushing capacity in Australia, the country is well-positioned to capitalize on these market shifts and increase its canola oil exports in the forecast year.

FAS/Canberra estimates MY 2024/25 canola oil exports at 230,000 MT, a 14,000 MT (6.5 percent) increase from the MY 2023/24 level. In the first three months of MY 2024/25, exports totaled 67,000 MT—one-third higher than during the same period in the previous year. However, this early surge is expected to moderate in the latter half of the marketing year.

Australia exports canola oil to a diverse range of destinations. Notably, demand from China has significantly increased in the first three months of MY 2024/25 (Nov 2024 – Jan 2025) compared to the same period in prior years (see Figure 14). During this time, China accounted for over a quarter of Australia's total canola oil exports. This surge may be linked to stockpiling ahead of China's planned implementation of a 100 percent tariff on Canadian canola oil imports in March 2025.

Figure 14 – Major Canola Meal Export Destinations – MY 2022/23 to 2024/25



Source: *Australian Bureau of Statistics*
Note: *Australia Marketing Year is Nov to Oct (eg MY 2023/24 = Nov 2023 to Oct 2024)*

Imports

Canola oil imports for MY 2025/26 are forecast at 15,000 MT, unchanged from the MY 2024/25 estimate. This volume represents just three percent of forecast domestic canola oil production and only five percent of projected exports. The expected increase in crushing volume for MY 2025/26 is likely to limit any significant rise in canola oil imports.

For the first three months of MY 2024/25 (Nov 2024 – Jan 2025), imports were slightly higher than in the same period of the previous year. However, given the large canola harvest and the recent expansion in crushing capacity, total imports for MY 2024/25 are unlikely to exceed 15,000 MT.

Stocks

Canola oil ending stocks are typically relatively consistent from year to year, and MY 2025/26 is not expected to be an exception.

Table 3 - Production, Supply, and Distribution of Canola Oil

Oil, Rapeseed	2023/2024		2024/2025		2025/2026	
Market Year Begins	Nov 2023		Nov 2024		Nov 2025	
Australia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	1100	1100	1100	1100	0	1300
Extr. Rate, 999.9999 (PERCENT)	0.4136	0.4136	0.4145	0.4145	0	0.42
Beginning Stocks (1000 MT)	53	53	57	56	0	37
Production (1000 MT)	455	455	456	456	0	546
MY Imports (1000 MT)	16	14	15	15	0	15
Total Supply (1000 MT)	524	522	528	527	0	598
MY Exports (1000 MT)	217	216	210	230	0	290
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	250	250	260	260	0	265
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	250	250	260	260	0	265
Ending Stocks (1000 MT)	57	56	58	37	0	43
Total Distribution (1000 MT)	524	522	528	527	0	598
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

OLIVE OIL

Production

Australian olive oil production for MY 2025/26 is forecast to decline to 22,000 MT, a 12 percent decrease from FAS/Canberra’s MY 2024/25 estimate of 25,000 MT. This reduction is primarily due to the natural biennial cycle of olive production, where yields typically decline following a high-yielding year. Despite this short-term decrease, production is expected to follow an upward trend in the coming years as younger trees continue to mature and progressively increase their yields.

The Australian olive oil industry predominantly produces Extra Virgin Olive Oil (EVOO), accounting for 90 to 95 percent of total output. EVOO is extracted through cold pressing, which preserves its high quality and premium status. Olive oil can also be extracted from the residual olive paste using chemical methods. This lower-grade oil is generally sold at a lower price or used in other products.

Industry sources report that in Australia, the average annual EVOO extraction rate typically ranges from 15 to 18 percent. Lower extraction rates are often due to high fruit moisture content caused by suboptimal seasonal conditions. Additionally, some producers begin harvesting before the olives reach optimal oil content for logistical reasons, while smaller producers may have less efficient extraction equipment.

In recent years, many large-scale producers have replaced underperforming olive varieties with proven, higher-yielding varieties. Some have now completed these replanting programs.

Australia's olive industry continues to expand, with estimates suggesting that up to 35 percent of trees are less than eight years old. Olive trees begin bearing fruit at around three years and continue increasing their yields until they reach full maturity at approximately eight years. Among the country's largest producers, an estimated 35 percent of trees are in the three- to seven-year growth phase, while 65 percent have reached maturity. Mature trees in traditional grove spacing yield approximately 15 MT/ha of harvested olives, while high-density hedge plantings can achieve over 20 MT/ha.

As an increasing proportion of Australia's olive trees reach full maturity, industry projections indicate steady year-on-year production growth over the next 10 to 15 years. The majority of large commercial groves are concentrated in optimal temperate growing regions, including southern New South Wales, northern Victoria, and the southwest corner of Western Australia.

FAS/Canberra estimates MY 2024/25 olive oil production at 25,000 MT, representing a 5,000 MT (25 percent) increase from MY 2023/24. Industry sources report that olive production and oil extraction rates in MY 2023/24 were within typical ranges, supported by favorable growing conditions, particularly from early 2024 leading up to harvest.

For MY 2024/25, seasonal conditions have been highly favorable, with the crop set to be harvested from mid-March to July 2025. Horticultural producers in key olive-growing regions report that since mid-2024, the warm and relatively dry temperate climate has been ideal for both yield and quality. These conditions are expected to result in above-average olive fruit and oil yields for MY 2024/25.

Consumption

FAS/Canberra forecasts Australian olive oil consumption at 56,000 MT in MY 2025/26, a slight increase from the MY 2024/25 estimate of 54,000 MT.

In Australia, Extra Virgin Olive Oil (EVOO) is generally not regarded as a primary cooking oil and is not commonly used as a substitute for canola or vegetable oils. The majority of domestically produced EVOO is expected to continue being sold through retail channels. As a result, consumer preferences for cooking oils compared to EVOO tend to remain stable from year to year. However, reports indicate that some consumers are increasingly substituting traditional cooking oils with EVOO due to its perceived health benefits.

FAS/Canberra estimates MY 2024/25 olive oil consumption at 54,000 MT, slightly higher than the 52,000 MT recorded in MY 2023/24. As noted earlier, Australia has been experiencing higher-than-usual population growth, which is contributing to the steady rise in olive oil consumption.

Trade

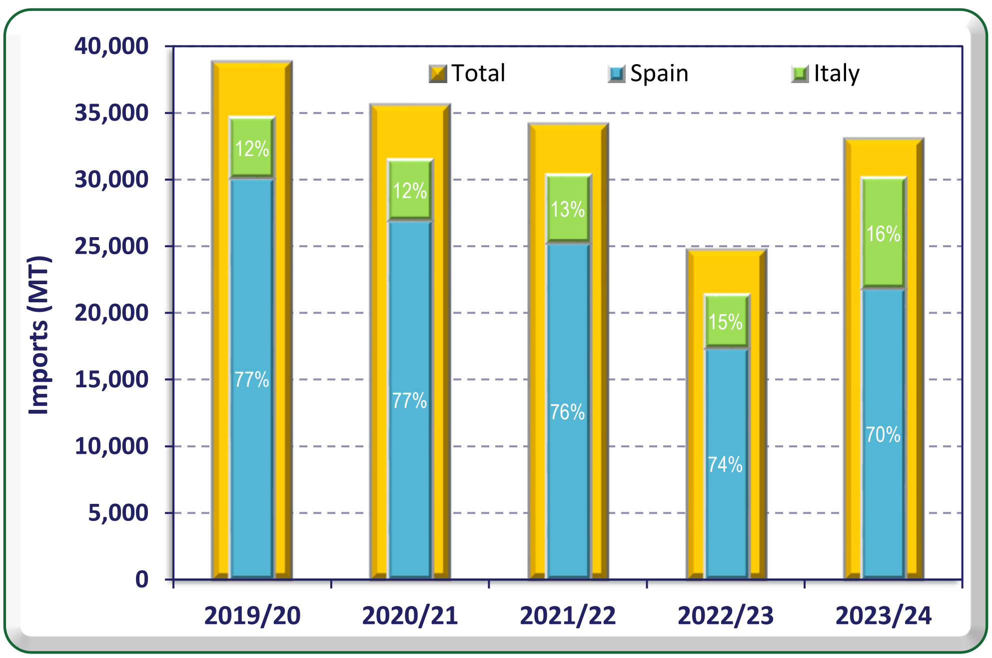
Imports

FAS/Canberra forecasts Australian olive oil imports to remain steady at 35,000 MT in MY 2025/26, unchanged from the MY 2024/25 estimate. Although domestic production is expected to decline in MY 2025/26, higher production in the prior year will likely result in increased carryover stocks, reducing the need for additional imports to meet domestic demand.

According to industry sources, retail channels sell approximately 40 percent of imported olive oil, comprising Extra Virgin Olive Oil (EVOO) and lower-quality olive oil. The remaining 60 percent is primarily lower-quality olive oil supplied to the food industry.

Spain remains Australia's dominant supplier, typically accounting for around three-quarters of total imports, followed by Italy and Greece (see Figure 15). However, in MY 2023/24, Spain's share dropped to two-thirds due to drought conditions affecting supply, while Italy's share increased to one-quarter. Over the past 20 years, these two countries have consistently supplied around 90 percent of Australia's olive oil imports. Notably, Australia has experienced a gradual decline in olive oil imports over the past five years as domestic production continues to expand.

Figure 15 – Australian Olive Oil Imports – MY 2019/20 to MY 2023/24



Source: *Australian Bureau of Statistics*
Note: *Australia Marketing Year is January to December (eg MY 2023/24 = Jan 2024 to Dec 2024)*

Exports

FAS/Canberra forecasts Australian olive oil exports to decline to 3,000 MT in MY 2025/26, down from 5,000 MT in the previous year. Given the expected lower production, more olive oil will likely be directed toward domestic retail channels to maintain a stable domestic supply.

Australia is expected to remain a net importer of olive oil for the foreseeable future. However, as existing groves mature and overall production increases, export volumes are anticipated to grow gradually in the coming years.

Stocks

Ending stocks are forecast at 15,000 MT in MY 2025/26, down slightly from the prior year. As mentioned, this is mainly due to domestic olive oil suppliers retaining greater stock in an up-production year to accommodate adequate supply for the domestic market in the subsequent down-production year.

Table 4 - Production, Supply, and Distribution of Olive Oil

Oil, Olive	2023/2024		2024/2025		2025/2026	
Market Year Begins	Jan 2024		Jan 2025		Jan 2026	
Australia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	36	36	36	36	0	36
Area Harvested (1000 HA)	36	36	36	36	0	36
Trees (1000 TREES)	4600	4600	4600	4600	0	4600
Beginning Stocks (1000 MT)	17	17	15	16	0	17
Production (1000 MT)	20	20	24	25	0	22
MY Imports (1000 MT)	38	33	30	35	0	35
Total Supply (1000 MT)	75	70	69	76	0	74
MY Exports (1000 MT)	5	2	3	5	0	3
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	55	52	55	54	0	56
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	55	52	55	54	0	56
Ending Stocks (1000 MT)	15	16	11	17	0	15
Total Distribution (1000 MT)	75	70	69	76	0	74
(1000 HA) ,(1000 TREES) ,(1000 MT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

COTTONSEED

Production

FAS/Canberra forecasts cottonseed production to decline to 1.08 MMT in MY 2025/26, down from an estimated 1.42 MMT in MY 2024/25. This forecast reflects expectations of a smaller cotton planting season, driven by reduced irrigation water availability and below-average cotton prices.

Water scarcity is expected to significantly impact the planted area, which is projected to decline to 460,000 hectares from an estimated 638,000 hectares in MY 2024/25.

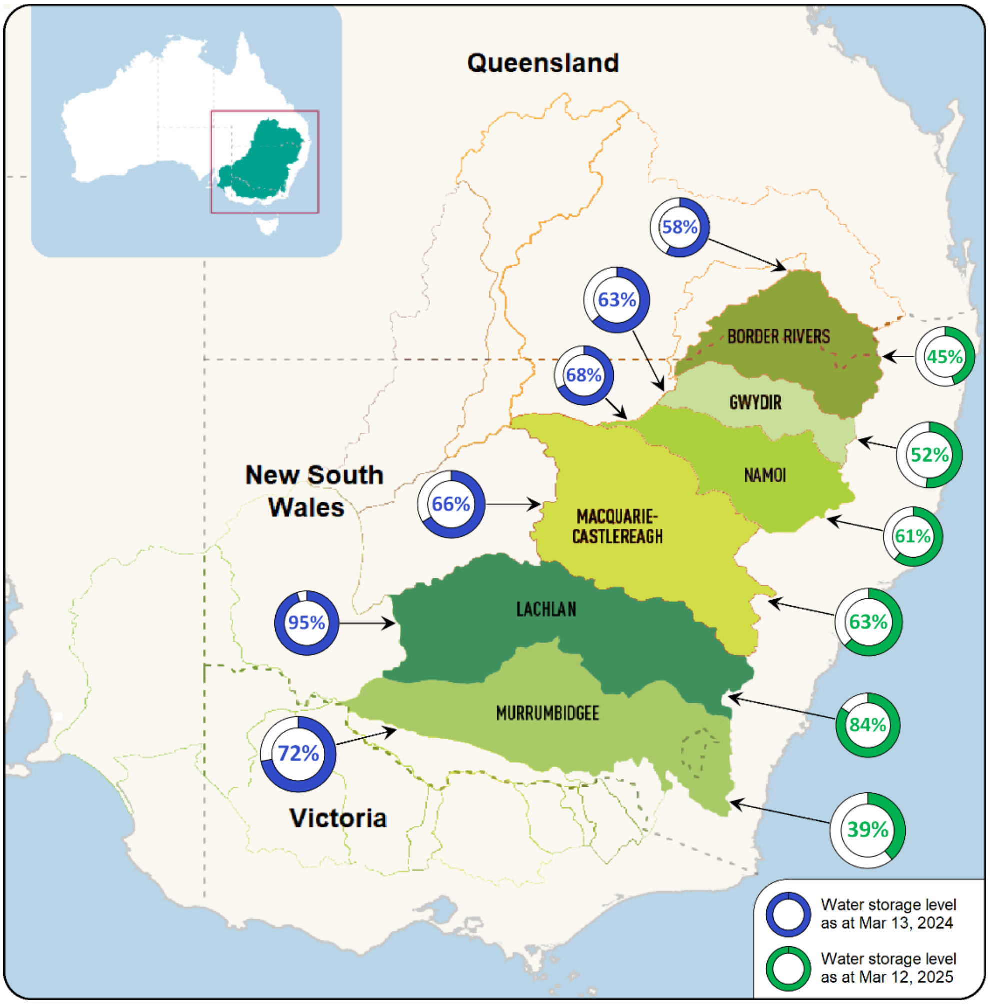
Irrigation Water Availability

Irrigated cotton growers in Australia source water from various channels. In the northern cotton-growing regions, farmers primarily rely on overland flows and high-flow waterway harvesting, storing the water in large on-farm dams. In contrast, growers further south depend more on irrigation schemes, with limited on-farm water harvesting.

From 2020 to 2022, above-average rainfall led to high irrigation storage levels across the eastern states, supporting two record-breaking cotton production seasons in MY 2021/22 and MY 2022/23. During 2023 and 2024, rainfalls were below average and irrigation scheme water levels and on-farm storage gradually declined. While recent wet-season rains in Queensland and northern New South Wales have replenished some on-farm storage dams, overall water levels remain lower than in previous years.

By the end of the current MY 2024/25 irrigation season, water levels in the major irrigation schemes across the major cotton-producing regions have broadly declined (see Figure 16). The current levels are significantly lower than in recent years and reflect lower irrigation water availability expectations for the MY 2025/26 season. This situation limits the potential area of irrigated cotton for the forecast year.

Figure 16 – Irrigation Storage Levels - March 13, 2024 and March 12, 2024



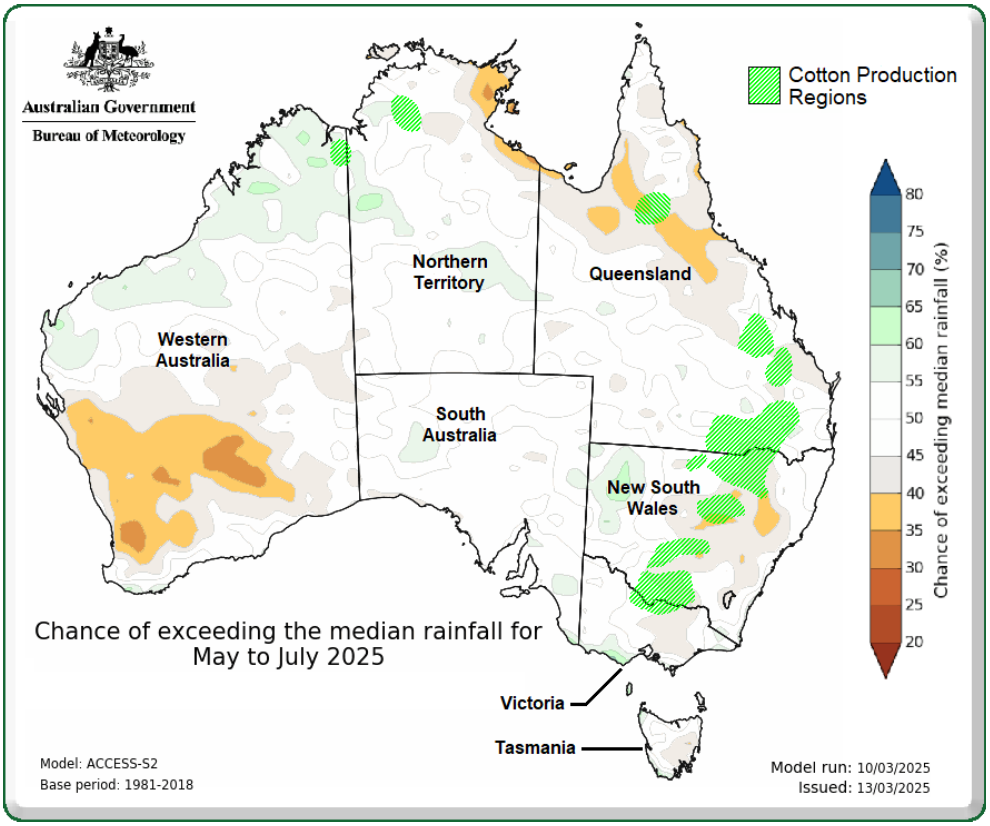
Source: *Murray Darling Basin Authority*

Rainfall Outlook and Potential Recovery

Irrigation schemes typically replenish through winter and spring rainfall, which supports water storage ahead of the summer planting season. While heavy rainfall during this period could improve irrigation availability, the Australian Bureau of Meteorology's forecast for May to July 2025 suggests an average to below-average chance of exceeding median rainfall (see Figure 17).

Most water inflows occur from July to October, meaning above-average rainfall in that window could still improve irrigation reserves. However, based on current conditions, a lower water supply is expected, restricting the area of irrigated cotton in MY 2025/26.

Figure 17 – Australian Rainfall Forecast – May to July 2025



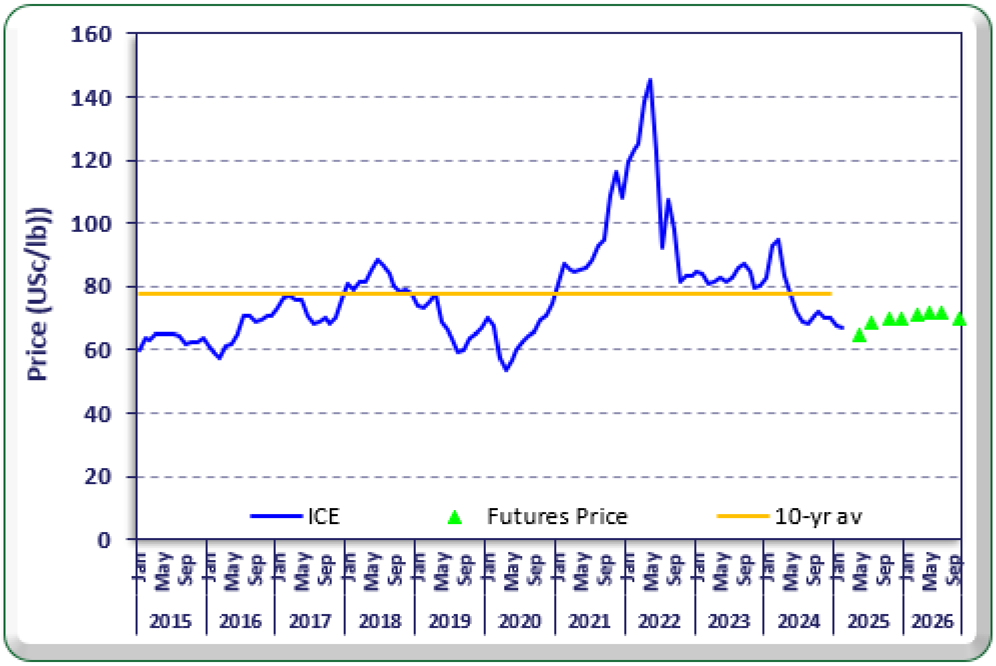
Source: Australian Bureau of Meteorology / Cotton Australia

Market Conditions and Pricing Pressures

In addition to the expectation of lower irrigation water resources is impacting the forecast planted area, the decline of cotton pricing over the last year and the ongoing low-price is impacting expectation for the forecast crop. As Australia exports virtually all of the cotton it produces, the price growers receive is directly linked to world prices.

The Intercontinental Exchange (ICE) #2 cotton price indicator has declined in recent months—just before the MY 2024/25 cotton harvest in Australia—and is now well below the previous 10-year average (see Figure 18). This price drop is expected to reduce grower profitability for MY 2024/25, limiting cash reserves available for investment in the MY 2025/26 crop.

Figure 18 – ICE #2 Cotton Price History & Futures



Source: *Intercontinental Exchange (ICE) #2 – historical prices*
www.investing.com - historic prices
www.barchart.com/futures - futures prices

Furthermore, futures market data suggests that cotton prices will remain below the 10-year average beyond the MY 2025/26 harvest. Rising production costs in recent years, combined with lower-than-average prices, will likely significantly impact on the total planted area. The effect is expected to be more pronounced for dryland cotton, which carries a higher production risk than irrigated cotton.

Currency Considerations

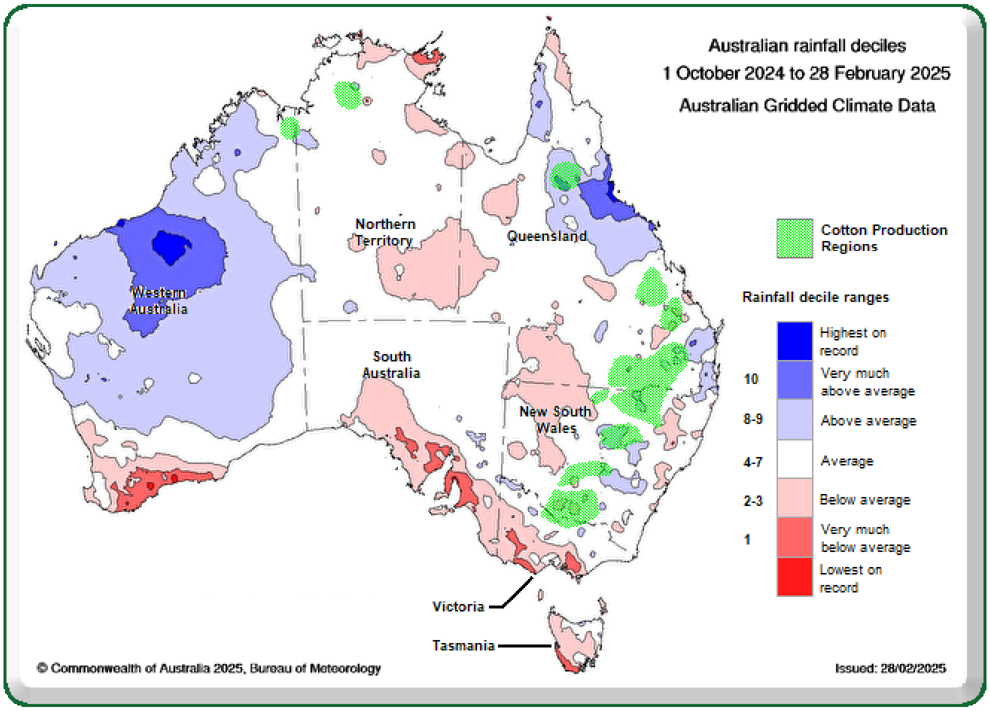
As mentioned, the Australian dollar has remained relatively weak, at around AU$1.58 to US$1 (see Figure 10). While economists anticipate a gradual strengthening of the Australian dollar throughout 2025, even a return to exchange rate levels from early 2024 should allow Australian cotton producers to maintain some price competitiveness in export markets.

MY 2024/25 Production Estimate

FAS/Canberra estimates cottonseed production for MY 2024/25 at 1.42 MMT, with harvest set to begin in April 2025. This represents an eight percent increase from MY 2023/24, driven by favorable growing conditions across most cotton-producing regions.

Rainfall across the growing period has generally been around average, except for a small area of production in far north Queensland, which experienced heavy rains in 2025 (see Figure 19) associated with cyclone events. Additionally, growers report that temperatures have been favorable, and pest burdens have been relatively low, contributing to strong crop development.

Figure 19 – Rainfall Deciles, Oct 2024 to Feb 2025



Source: Australian Bureau of Meteorology / Cotton Australia

Consumption

FAS/Canberra forecasts total domestic cottonseed consumption to increase slightly to 700,000 MT in MY 2025/26, up from 690,000 MT in the previous year. Most of this consumption is expected to support the domestic livestock feed industry, with the increase primarily driven by a modest expansion in cottonseed crushing.

Cottonseed Crushing

Cottonseed crushing in Australia remains limited, with only 50,000 MT forecast for MY 2025/26, compared to 650,000 MT allocated for livestock feed. The country has only two significant cottonseed crushing facilities:

- One facility primarily processes canola and has recently adapted its operations to allow for interchangeable crushing of both canola and cottonseed. This facility has the capacity to significantly expand cottonseed processing if market conditions shift in favor of cottonseed oil over canola oil.
- The second facility is a small crushing plant that supplies by-products to an affiliated livestock feed processing mill, rather than focusing on cottonseed oil production.

Livestock Feed Demand

The livestock industries are not reliant on cottonseed, as various alternative protein sources are available to meet feed requirements. As a result, fluctuations in domestic cottonseed consumption are largely influenced by availability, cost competitiveness relative to other protein feed sources, and price changes in cottonseed oil compared to canola oil.

For MY 2024/25, FAS/Canberra estimates total cottonseed consumption at 690,000 MT, with 40,000 MT allocated for crushing and the remainder utilized by the domestic livestock industry.

Trade

Exports

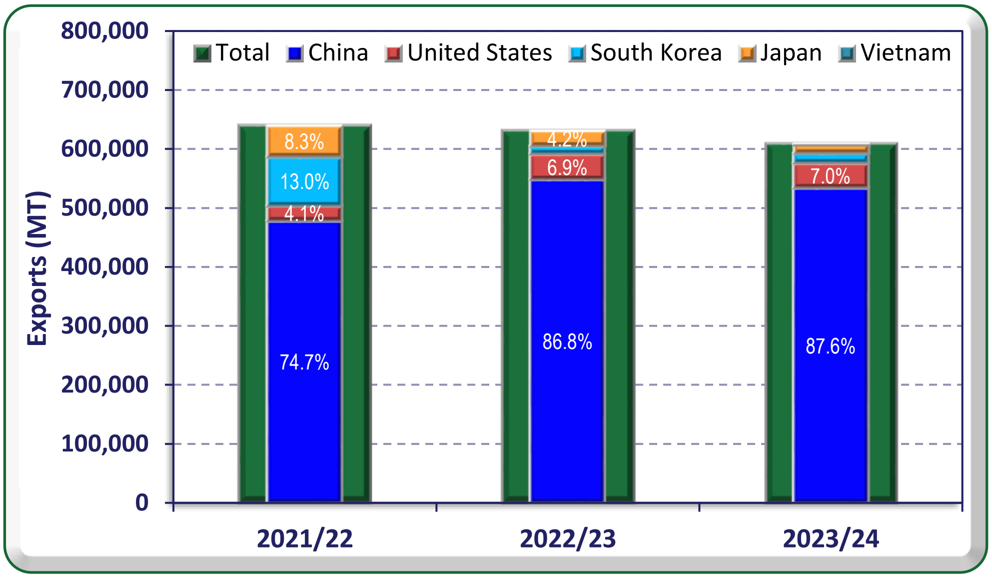
FAS/Canberra forecasts cottonseed exports to decline by 43 percent to 400,000 MT in MY 2025/26, primarily due to the expected decrease in cotton production and relatively stable domestic cottonseed consumption.

For MY 2024/25, FAS/Canberra estimates cottonseed exports at 700,000 MT, a 15 percent increase from the 610,000 MT exported in MY 2023/24. If realized, this would be the second-highest cottonseed export volume on record, behind the peak of 783,000 MT in MY 2010/11.

As of the first 10 months of MY 2023/24, 609,000 MT has already been exported, with the final two months historically seeing low trade volumes. The higher export estimate for MY 2024/25 reflects increased cottonseed production, driven by improved growing conditions compared to the previous year.

In recent years, China has dominated Australia's cottonseed export market, accounting for approximately 85 percent of total exports (see Figure 20). Over the past two marketing years, China has outcompeted other nations, securing the majority of Australia's cottonseed shipments.

Figure 20 – Cottonseed Export Destinations - Apr to Jan MY 2021/22 to 2023/24



Source: *Australian Bureau of Statistics*
Note: *Australia Marketing Year is April to March (eg MY 2022/23 = Apr 2023 to Mar 2024)*

Stocks

FAS/Canberra forecasts a relatively stable cottonseed ending stock level for MY 2025/26 after successive years of large cottonseed production. Stocks cannot build up to high levels as there are limited cottonseed storage facilities, and it is more challenging to store than cereal grains. This creates a greater imperative to offer cottonseed at a price that attracts buyers before the product spoils and goes to waste.

Table 5 - Production, Supply, and Distribution of Cottonseed

Oilseed, Cottonseed	2023/2024		2024/2025		2025/2026	
Market Year Begins	Apr 2024		Apr 2025		Apr 2026	
Australia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (Cotton) (1000 HA)	650	0	700	0	0	0
Area Harvested (Cotton) (1000 HA)	505	573	600	638	0	460
Seed to Lint Ratio (RATIO)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	106	106	79	116	0	141
Production (1000 MT)	1253	1305	1353	1415	0	1075
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	1359	1411	1432	1531	0	1216
MY Exports (1000 MT)	700	610	800	700	0	400
Crush (1000 MT)	80	35	100	40	0	50
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	500	650	425	650	0	650
Total Dom. Cons. (1000 MT)	580	685	525	690	0	700
Ending Stocks (1000 MT)	79	116	107	141	0	116
Total Distribution (1000 MT)	1359	1411	1432	1531	0	1216
Yield (MT/HA)	2.4812	2.2775	2.255	2.2179	0	2.337
(1000 HA) ,(RATIO) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: [PSD Online Advanced Query]						

COTTONSEED MEAL

Production

FAS/Canberra forecasts cottonseed meal production to rise to 23,000 MT in MY 2025/26, up from an estimated 18,000 MT in MY 2024/25. This increase is linked to a slight cottonseed crushing expansion driven by a facility that re-entered the market in MY 2023/24. However, as previously mentioned, cottonseed crushing could expand further if cottonseed oil prices experience a significant increase relative to canola oil prices. Such a scenario is unlikely, as cooking oils are generally interchangeable, maintaining price competitiveness across different oil types.

For MY 2024/25, FAS/Canberra estimates cottonseed meal production at 18,000 MT, a modest increase from 16,000 MT in MY 2023/24. This growth is attributed to the same facility's return to cottonseed crushing. Initial expectations for a larger increase in crushing for MY 2024/25 have since been moderated.

Consumption

FAS/Canberra forecasts total cottonseed meal consumption to reach 23,000 MT in MY 2025/26, up from an estimated 18,000 MT in MY 2024/25. This increase aligns with the projected growth in cottonseed crushing.

All domestically produced cottonseed meal is consumed by the livestock industry. Historically, Australia had a much higher cottonseed crushing capacity, with annual cottonseed meal consumption ranging from 250,000 MT to 350,000 MT between MY 2010/11 and MY 2017/18. However, given the relatively small forecasted increase, Australia’s livestock industry is expected to absorb the additional cottonseed meal supply easily.

Trade

FAS/Canberra forecasts no cottonseed meal exports for MY 2025/26, continuing the trend of recent years. While there were previous expectations of higher cottonseed crushing in the past two years—potentially leading to small export volumes—actual crushing levels remain low. As a result, all domestically produced cottonseed meal is expected to be consumed in Australia.

Stocks

Due to the short shelf life of wet cottonseed meal, no stocks are carried over from year to year.

Table 6 - Production, Supply, and Distribution of Cottonseed Meal

Meal, Cottonseed	2023/2024		2024/2025		2025/2026	
Market Year Begins	Apr 2024		Apr 2025		Apr 2026	
Australia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	80	35	100	40	0	50
Extr. Rate, 999.9999 (PERCENT)	0.45	0.4571	0.45	0.45	0	0.46
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	36	16	45	18	0	23
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	36	16	45	18	0	23
MY Exports (1000 MT)	5	0	5	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	31	16	40	18	0	23
Total Dom. Cons. (1000 MT)	31	16	40	18	0	23
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	36	16	45	18	0	23
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

COTTONSEED OIL

Production

FAS/Canberra forecasts cottonseed oil production to increase to 8,000 MT in MY 2025/26, up from an estimated 6,000 MT in MY 2024/25. This increase is directly linked to the anticipated modest expansion in cottonseed crushing for the forecast year.

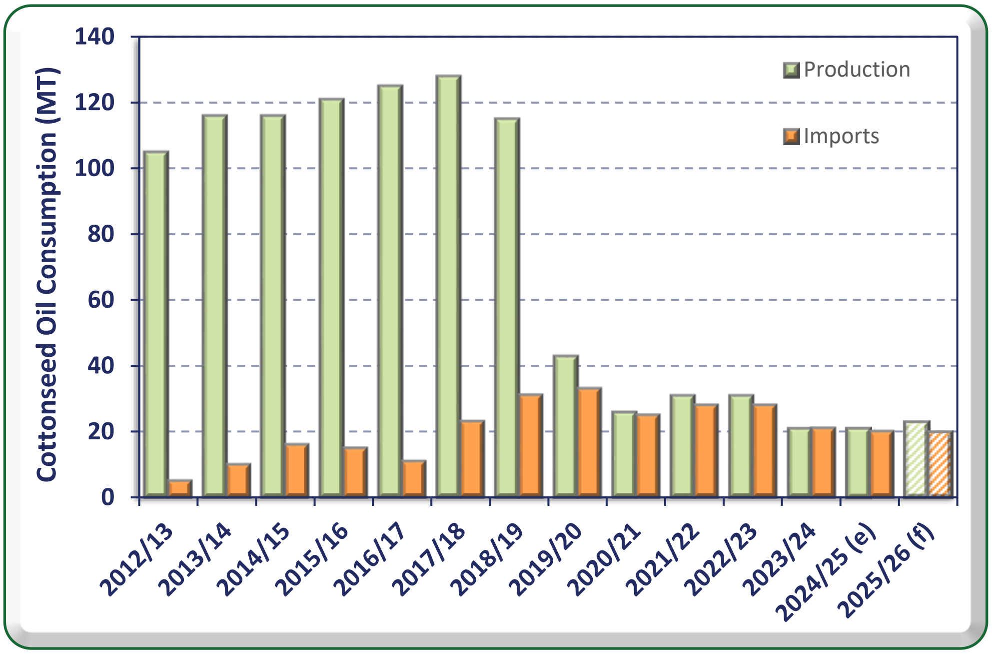
For MY 2024/25, FAS/Canberra estimates cottonseed oil production at 6,000 MT, slightly above the 5,000 MT recorded in MY 2023/24. These remain relatively small volumes, and as previously mentioned, production could increase further if cottonseed oil prices rise to levels that make it more financially attractive than crushing canola oil.

Consumption

FAS/Canberra forecasts total cottonseed oil consumption to increase marginally to 23,000 MT in MY 2025/26. This is associated with an anticipated increase in production, while cottonseed oil imports are expected to remain stable.

In MY 2017/18 and for almost a decade prior, Australia produced over 100,000 MT of cottonseed oil annually. During this period, Australian imports increased to as high as 23,000 MT. However, following a severe drought that drastically reduced cottonseed supply, cottonseed crushing declined to near zero. Interestingly, imports did not surge to compensate for the drop in domestic production. Instead, they increased by only about 10,000 MT before gradually settling at around 20,000 MT in recent years, returning to levels observed when domestic production was significantly higher (see Figure 21). Food service providers and retail consumers adapted by shifting to alternative cooking oils.

Figure 21 – Australian Cottonseed Oil Consumption and Import History



Source: *PSD Online / FAS/Canberra*
Note: (e) = estimate, (f) = forecast
Note: *Australia Marketing Year is April to March (eg MY 2023/24 = Apr 2024 to Mar 2025)*

For MY 2024/25, FAS/Canberra estimates cottonseed oil consumption at 21,000 MT, similar to the prior year. As noted, overall consumption remains low following the decline in domestic production, as Australian consumers have largely transitioned to other cooking oils.

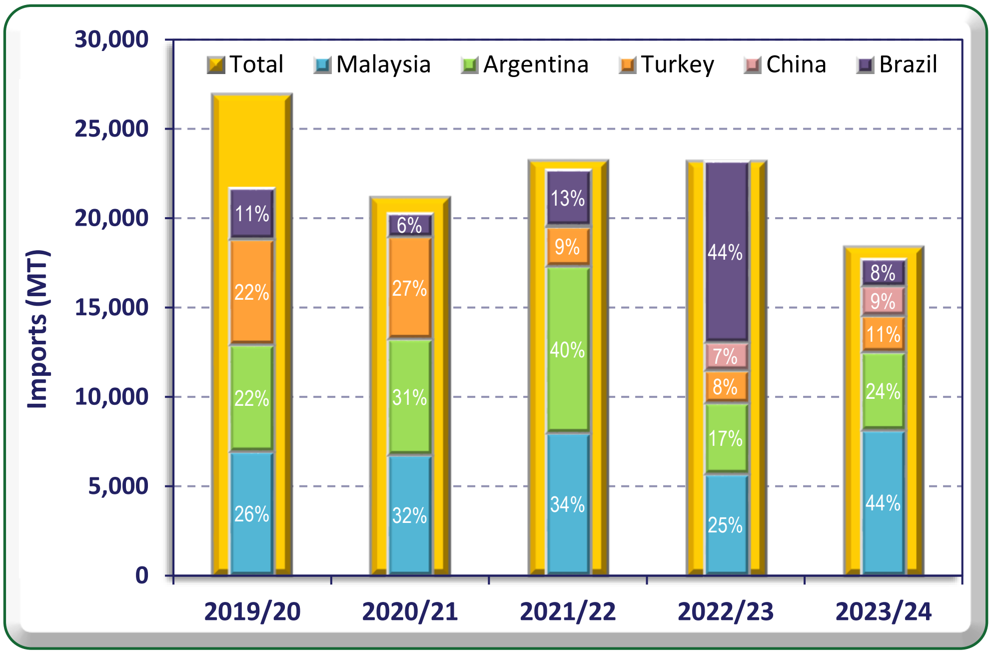
Trade

Imports

FAS/Canberra forecasts cottonseed oil imports to remain stable at 20,000 MT in MY 2025/26, in line with the previous year's estimate. This reflects the expectation of only a marginal increase in domestic production.

Over recent years more than 95 percent of Australia's cottonseed oil imports have come from Malaysia, Argentina, Turkey, China, and Brazil (see Figure 22). While the share of imports from these countries has fluctuated, Malaysia and Argentina have consistently remained the two primary suppliers. Notably, China has emerged as a more significant source in the past two years.

Figure 22 – Major Cottonseed Oil Imports – Apr to Jan MY 2019/20 to 2023/24



Source: *Australian Bureau of Statistics*
Note: *Australia Marketing Year is April to March (eg MY 2023/24 = Apr 2024 to Mar 2025)*

FAS/Canberra's cottonseed oil import estimate for MY 2024/25 is 20,000 MT, 1,000 MT lower than for MY 2023/24. This is due to a slight increase in domestic cottonseed oil production estimated for MY 2024/25.

Exports

Australia's cottonseed oil exports, which were virtually nonexistent for over a decade, rose to 5,000 MT in MY 2023/24, following a modest increase in domestic production.

With production forecast to reach 8,000 MT in MY 2025/26, exports are expected to remain stable at 5,000 MT, with the remaining volume absorbed by domestic consumption.

Stocks

With relatively low production and imports of cottonseed oil, little domestic cottonseed oil stock is expected in Australia, and no change is anticipated for the forecast year.

Table 7 - Production, Supply, and Distribution of Cottonseed Oil

Oil, Cottonseed	2023/2024		2024/2025		2025/2026	
Market Year Begins	Apr 2024		Apr 2025		Apr 2026	
Australia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	80	35	100	40	0	50
Extr. Rate, 999.9999 (PERCENT)	0.15	0.1429	0.15	0.15	0	0.16
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	12	5	15	6	0	8
MY Imports (1000 MT)	23	21	20	20	0	20
Total Supply (1000 MT)	35	26	35	26	0	28
MY Exports (1000 MT)	5	5	5	5	0	5
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	30	21	30	21	0	23
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	30	21	30	21	0	23
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	35	26	35	26	0	28
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Attachments:

No Attachments